quite a few ministries and departments. But these seem to be more lip service than a real effort to provide a launching pad for champion services.

Investments in Public Enterprises are Directed towards Loss-Making Entities

The equity investments proposed in Budget 2020–21 added up to a little over Rs 45,000 crore or 2.57 per cent of total discretionary expenditure. Loans of Rs 3237 crore were also proposed to be given to the Nuclear Power Corporation from the Budget.

A notable feature of equity investment proposals in public enterprises was the fact that much of it was meant for investing in sick and loss-making enterprises of the government. Equity infusion was proposed for weak financial enterprises of the government (IIFCL, EXIM Bank, insurance companies), sick service enterprises (BSNL and MTNL) and assistance-disbursing organizations like the SC and ST Corporations. Over Rs 23,500 crore was proposed to be invested in the equity of public-sector financial enterprises over and above the investment of over Rs 2,50,000 crore in the equity of PSBs in the previous three years.

All the financial enterprises of the government—banks, general insurance companies, infrastructure-financing bodies like IIFCL, export-promoting organizations like EXIM Bank—have been performing relatively poorly. Sinking such enormous equity in these companies, which are increasingly losing market share and proving unable to compete with private enterprises, amounted to throwing good money after bad.

The government’s proposal to provide equity funding to BSNL and MTNL to pay for the cost of 4G licence was another instance of debasement of equity as a risk capital investment. There was no likelihood of BSNL and MTNL adding any significant number of customers, adding value or making profits. It made no sense for BSNL and MTNL to go in for a 4G licence and create a network in a super-competitive field.